



Export Education Levy Annual Report

For the financial year ended 30 June 2019



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Background

This document reports on the administration of the Export Education Levy (the EEL) and provides financial statements for the financial year ended 30 June 2019, as required by section 238I of the Education Act 1989.

In 2003, the Government introduced the EEL to fund a clearly defined set of activities that benefit the international education sector. The EEL is authorised by section 238H of the Education Act 1989. Regulations prescribing the EEL first came into force on 10 January 2003. The EEL is payable by any education provider that enrolls international fee-paying students. For the year 2018, the EEL was set at 0.45% of international student tuition fee income.

From 1 January 2019, the levy rate for Private Training Establishments (PTEs) increased from 0.45% to 0.89% of international student tuition fees and from 0.45% to 0.50% for universities, Institutes of Technology and Polytechnics (ITPs) and private schools. The levy paid by state and state-integrated schools remained unchanged for 2019. Payments for trimester one 2019 were at the new rates while payments made in January or February 2019 for trimester three 2018 remained at the old rate. The levy rates were increased to address immediate financial pressures on the EEL.

Purposes of the Export Education Levy

Section 238I of the Education Act 1989 states the purposes of the EEL, and stipulates that:

- (1) *The purposes to which the funds of the levy may be put are as follows:*
 - (a) *the development, promotion, and quality assurance of the export education sector, which may include (without limitation) —*
 - (i) *professional and institutional development; and*
 - (ii) *marketing; and*
 - (iii) *implementation of scholarship schemes; and*
 - (iv) *research, and resource development; and*
 - (v) *support (financial or otherwise) of other bodies engaged in the development, promotion, or quality assurance of the export education sector;*
 - (ab) *the making of payments as set out in subsections (1A) and (1B):*
 - (b) *the administration and audit of the code:*
 - (ba) *the funding of the operation of the International Student Contract Dispute Resolution Scheme provided for by section 238J:*
 - (c) *the general administration of the levy and associated purposes.*
- (1A) *Subsection (1B) applies if —*
 - (a) *an international student is or was enrolled with a private training establishment for a course of study or training; and*
 - (b) *at the time of the student's enrolment the private training establishment held a current registration under Part 18 or the private school held a current registration under section 35A; and*

- (c) *the private training establishment has not, cannot, or will not provide, in whole or in part, the course of study or training.*
- (1B) *If this subsection applies, the funds of the levy may be used for any of the following:*
 - (a) *to make payment to any person to ensure the reimbursement of the student, in whole or in part, for tuition fees or for any payment other than tuition fees made by or on behalf of that student to the private training establishment in respect of the student's course of study or training if, and to the extent that,*
 - (i) *the private training establishment has not refunded the tuition fees or other payment; and*
 - (ii) *the agency responsible for the administration of the levy approves the reimbursement of the student as necessary and appropriate in the circumstances:*
 - (b) *with the approval of the Minister, to reimburse the Crown for any sum provided by the Crown and paid to any person to ensure the reimbursement of the student, in whole or in part, for tuition fees or for any payment other than tuition fees made by or on behalf of that student to the private training establishment in respect of the student's course of study or training if, and to the extent that, -*
 - (i) *the private training establishment had not refunded the tuition fees or other payment; and*
 - (ii) *the agency responsible for the administration of the levy approved the reimbursement of the student as necessary and appropriate in the circumstances:*
 - (c) *with the approval of the Minister, to reimburse, in whole or in part, the agency responsible for the administration of the levy, or any Crown entity, for –*
 - (i) *costs incurred by that agency or Crown entity in placing the student with an alternative provider; or*
 - (ii) *other costs incurred by that agency or Crown entity as a direct result of the private training establishment not providing the course of study or training.*

Government Agencies' Responsibilities

Ministry of Education

Annual Report to Parliament

Section 238I(3) of the Education Act 1989 refers to the requirement for an annual report:

As soon as practicable after 1 July in each year, the agency responsible for the administration of the levy must present to the Minister an annual report on the administration of the levy, which must include audited financial statements prepared in accordance with generally accepted accounting practice; and the Minister must present a copy of the report to the House of Representatives.

Administration of the Export Education Levy

The EEL is collected from education providers by the Ministry of Education (the Ministry) and held in a separate EEL account, administered by the Ministry.

Policy Development

The Ministry leads the development of policy on the EEL and reports to the Minister of Education. The Ministry works in consultation with other agencies and with the international education sector.



Reimbursement for international students

The Ministry, in conjunction with the New Zealand Qualifications Authority (NZQA), has responsibility for reimbursing international students affected by the closure of PTEs, individual PTE programmes, or private schools. This can include direct refunds to international students of tuition fees paid or funding costs incurred in transferring international students to another provider.

New Zealand Qualifications Authority

NZQA is responsible for the quality assurance of non-university tertiary education organisations (TEOs) and the administration of the Education (Pastoral Care of International Students) Code of Practice 2016 (the Code of Practice).

Education New Zealand

Education New Zealand (ENZ) is responsible for the promotions, market research and professional development projects which are partly funded from the EEL. The bulk of ENZ operations are funded by the Crown through Vote Tertiary Education.

Policy context

International Education Strategy

The New Zealand International Education Strategy (IES), released in August 2018, sets a path for the future of New Zealand's international education sector. The IES was developed by Government in consultation with international education stakeholders including providers, international and domestic students, peak bodies and community groups.

The IES shifted the focus from increasing international student numbers to improving and safeguarding the quality of New Zealand's international education sector. The vision is for international education to contribute to a thriving and globally connected New Zealand through world-class education. A key action under Goal 2 of the IES (achieving sustainable growth) is to 'Ensure the Export Education Levy is sustainable and remains fit for purpose'.

Consultation on the Export Education Levy 2019

In 2019, the Ministry of Education consulted on three proposals to change the way the EEL was calculated to ensure the fairness and ongoing sustainability of the EEL and its alignment to the International Education Strategy.

This followed changes made in 2018 to address immediate financial pressure on the EEL due to unprecedented reimbursement costs. These changes included the introduction of differential EEL rates for PTEs (0.89%) and non PTEs (0.50%). Cabinet also approved temporary advances of \$6 million (\$4 million in 2018/19 and \$2 million in 2019/20) to the Fund to ensure all payments are met.

The 2019 consultation focused on Private Training Establishments (PTE) and contained three separate proposals:

- **Risk-rated premium** – PTEs falling into specific risk categories would pay higher EEL contributions than other PTEs.
- **Financial security** – PTEs would be required to deposit a specified amount in advance each year. The deposit would be forfeited in cases of closure and would contribute to reimbursement costs.
- **Indexing EEL rates** – This would link EEL rates to the level of actual reimbursement expenditure in the immediately preceding period. It would both cover costs and avoid the development of a large balance in the EEL account when reimbursement costs are low.

Consultation on these proposals closed on Tuesday 25 June 2019. The Ministry sought input from international education sector peak bodies, providers and the general public, and 19 submissions were received online, via email and through information collected at sector consultation workshops in Auckland.

Of the three proposals, only indexing EEL rates received majority sector support. Analysis by PricewaterhouseCoopers indicated the cost of a risk-rated premium would likely outweigh benefits, and it would not result in a large EEL rate reduction for high performing providers. It was determined a financial security deposit would not target risk effectively and could force high quality providers out of the market.

The Minister of Education made the following decisions:

- to maintain the status quo for levy rates
- not to progress a financial security option, and
- to reconsider the indexing proposal in 2022.

During consultation the sector sought greater input into decisions on the EEL. The Minister supported the move to establish an EEL advisory group to enhance sector input into the strategic direction of the EEL.

The Unfunded International Providers Data Project

Unfunded international providers (UIPs) are PTEs that enrol international students only and do not receive government funding¹. Some UIPs offer courses leading to a qualification on the New Zealand Qualifications Framework. Other UIPs, such as the majority of English-language providers, do not offer formal qualifications.

From 2018, the unfunded PTE sector (including previously exempted English-language schools) was required to submit unit record data to the Ministry for the first time. Prior to this, unfunded PTEs submitted aggregate data to the Ministry via a spreadsheet. The new submission method allows for increased data capability.

The UIP data is used to determine EEL payments for the UIP sector. The new UIP data collection system also fills a gap in knowledge about international students enrolled at UIPs, their pathways through the system, and the contribution they make to the overall success of the international education sector.

From 2019, new features have been added to the UIP data project to improve the quality of the data submissions and EEL reporting. Using the new system, UIPs can monitor and access the data submitted to the Ministry.

¹ In 2018, there were 83 UIP's and 104 funded tertiary providers

Export Education Levy income and expenditure

The EEL received income for the financial year ended 30 June 2019 of \$6,406,264. This is an increase of 28% compared with the income the EEL received for the year ended 30 June 2018 and is the result of changes to the EEL rate in 2018. Combined with interest income and other income, total income for 2018/19 was \$6,456,918.

Figure 2: EEL collected by sector for the 2018/19 financial year (total \$6,406,264 million)

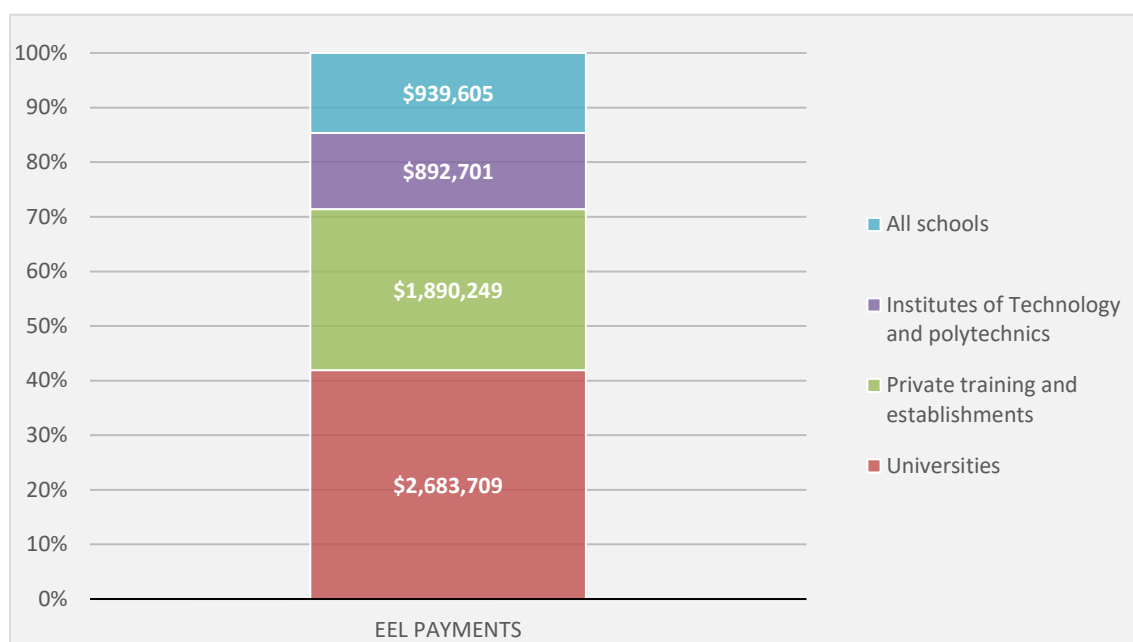


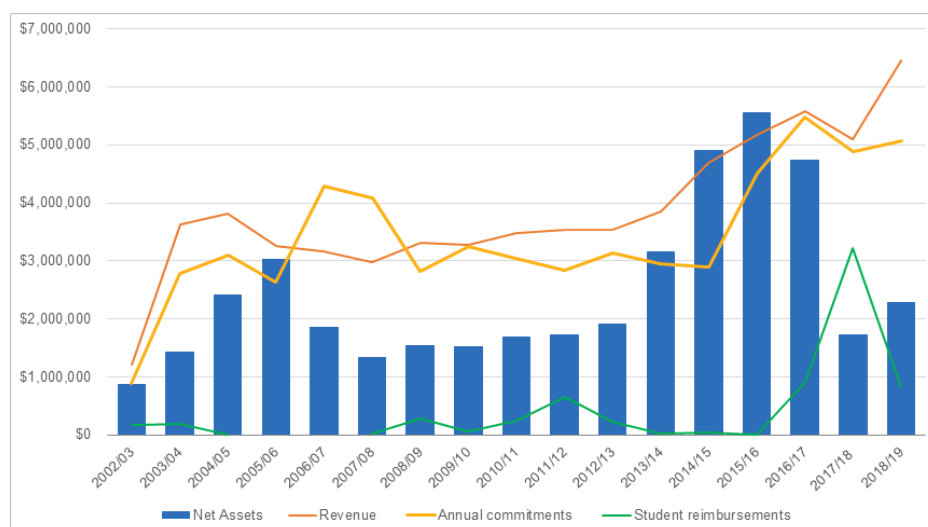
Table 1: Budgeted and Actual expenditure

Component of expenditure	Budgeted	Actual
Promotion, marketing, research and industry development (ENZ)	\$3,266,000	\$3,266,000
Code of Practice administration (NZQA)	\$723,000	\$723,000
Dispute resolution service (FairWay Resolution)	\$222,444	\$222,444
EEL administration operating costs (Ministry of Education)	\$148,254	\$189,379
Audit fee	\$10,152	\$10,152
International Student Wellbeing Strategy initiatives	\$750,000	\$636,197
Reimbursements resulting from PTE closures	-	\$816,004 ¹
Total	\$5,119,850	\$5,863,176
Notes:		
1. The EEL has historically carried sufficient balance to cover the low amount needed annually for reimbursements; no funding was budgeted for this purpose		

Total expenditure from the EEL during the financial year was \$5,863,176. This left an operating surplus of \$593,742 as reported in the Statement of Financial Performance for the year ended 30 June 2019. This surplus increased the equity balance of the EEL account from \$1,722,637 on 1 July 2018 to \$2,316,379 at 30 June 2019. There were two claims against the EEL from 1 July 2018 to 30 June 2019, a total of \$816,004.

Figure 1 shows the relative mapping of the EEL cash balance, revenue, annual planned costs, and student and agency reimbursements since it was introduced.

Figure 1: EEL net assets, revenue, annual costs and reimbursements 2002-2019



*Note that the new levy rates were introduced on 1 January 2019.

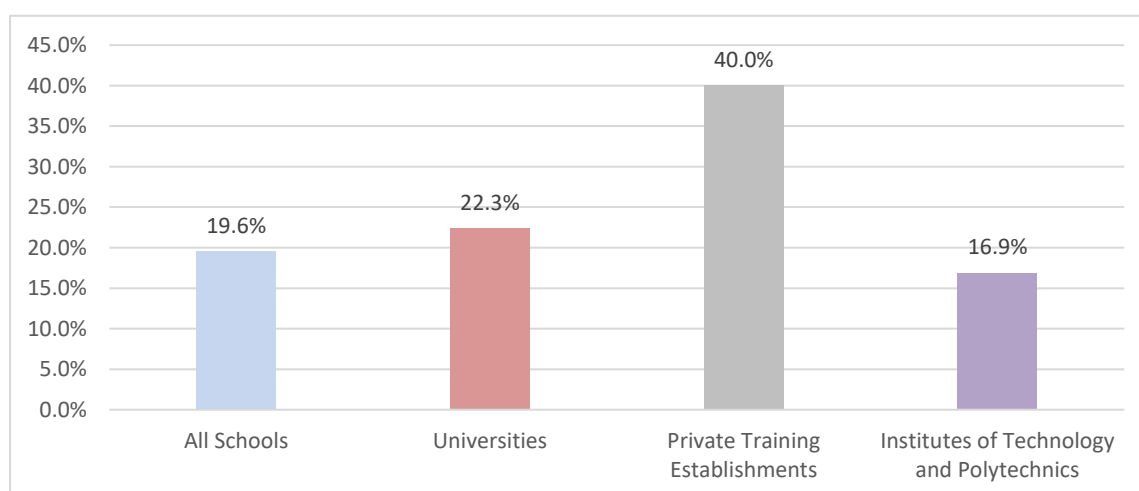
The Government loan of \$6 million is forecast (all things remaining equal) to be paid by 2023/24.

Student Numbers

During the 2018 calendar year, the number of international fee-paying students in New Zealand was 110,790. This represents a reduction of 6.4% from the 2017 calendar year (118,300 students).

The university and school sectors experienced increases in student numbers, at 8.2% and 7.1% respectively. Student numbers were slightly down for ITPs, at -3.2%. Student numbers at unfunded PTEs dropped by 18.5%, with numbers at funded PTEs experiencing a decrease of 9.9%.

Figure 3: Percentage of international fee-paying students by sector for 2018



Note: Percentages do not add up to 100% as (1) students can enrol in more than one sector and (2) subsidiary providers are not included.

Tuition Fee Income

Total tuition fee revenue from international students as reported by education providers exceeded one billion dollars (\$1.164 billion) in the 2018 calendar year, a growth of 4.9% over 2017 calendar year revenue. Universities and polytechnics earned 60.1% of this total, followed by PTEs with 22.5%. The school sector accounted for 16.7% of tuition fee revenue.

Table 2: Tuition fee revenue during the calendar years 2017 and 2018

International tuition revenues by provider groups	2017		2018		% change 2017-18
	(\$ million)	% of total	(\$ million)	% of total	
<i>Schools</i>					
Primary/Intermediate	18.1	1.6	21.0	1.8	16.0
Secondary/Composite/ Special	162.9	14.7	172.9	14.9	6.2
<i>Tertiary education institutions</i>					
Institutes of Technology/ Polytechnics	190.0	17.1	185.8	16.0	-2.2
Universities	454.7	41.0	513.4	44.1	12.9
<i>Private training establishments</i>					
SDR-PTEs ²	124.8	11.2	120.0	10.3	-3.9
Non-SDR PTEs ³ (unfunded)	147.5	13.3	141.9	12.2	-3.8
<i>Subsidiary Providers</i>⁴	11.8	1.1	8.6	0.7	-26.9
Totals	1109.7		1163.6		4.9

Source: data submitted by education providers

² These PTEs receive government funding for their domestic students, so they are required to complete the Single Data Return (SDR).

³ These PTEs do not receive government funding for their domestic students.

⁴ Subsidiary provider refers to language units which operate under the auspices of a registered provider, such as a school, university or Private Training Establishment (PTE).

Details of expenditure

Administration of the Export Education Levy

The administration of the EEL is carried out by the Ministry of Education. The Ministry's administration costs of \$189,379 during the year ended 30 June 2019 were paid from the EEL account. Administration includes levy collection, management of the EEL funds, policy work associated with the EEL, computer hardware and software costs, debt write-off and the publication of the EEL annual report.

Education New Zealand Funding for 2018/19

Education New Zealand (ENZ) received \$3.266 million from the Export Education Levy in 2018/19. Levy funding is incorporated with ENZ's allocation from Vote Tertiary Education for international education programmes, which was \$30.564 million for 2018/19.

ENZ has used the Levy funding to ensure long-term value for New Zealand by investing in three types of work programmes:

- Market and audience insight – identifying New Zealand's areas of weakness, priority audiences for whom a New Zealand education offering resonates, and specific market trends and audience insights
- Recruitment activity – across all global digital campaigns, social media, brand messaging, events, agent engagement and other critical activity for supporting New Zealand's education providers
- Data-driven digital platforms and programmes – evolving the studyinnewzealand.govt.nz platform and email marketing programmes to engage both prospective and current students with relevant marketing content.

International promotion and marketing

In 2018/19, ENZ spent \$2.237 million of Levy funding to sustainably grow the benefits of international education to New Zealand.

ENZ's priority markets for international promotion and marketing were Brazil, Chile, China, Colombia, European Union, India, Indonesia, Japan, Korea, Malaysia, the Philippines, Saudi Arabia, Thailand, United States of America and Vietnam. Promotional activities in priority markets included:

- digital marketing via the Study in New Zealand website
- social media campaigns
- education fairs, events and agent seminars held overseas
- in-bound agent visits to New Zealand's regions
- international media familiarisation visits to New Zealand.

In 2018/19, ENZ ran two global marketing campaigns. The campaigns were run across paid advertising, email, the studyinnewzealand.govt.nz website, social media⁵ channels and PR channels. Education providers and agents were encouraged to use the campaign assets in

⁵ The social media channels are Facebook, Instagram, YouTube and, in China, WeChat.

ENZ's Brand Lab and provided with advice on how to leverage the campaigns in their own promotional activity.

The global campaign, Future Proof 2.0, was run in 2018 to raise awareness of the high quality of New Zealand education. The key messages were:

- New Zealand teachers give you the skills to put your knowledge to work in the world
- New Zealand teachers challenge you to reach your potential in an unlimited learning environment
- New Zealand teachers are inspired by a society that encourages curiosity, new ideas and respect for the world around us

The campaign showcased some of the exceptional teachers and academics who make New Zealand's education system world. Future Proof 2.0 generated 54,000 referrals to New Zealand education providers.

The second campaign, New Futures Need New Paths, was run in 2019 to highlight how a New Zealand education provides students with the skills required to excel in their future and make a positive impact in the world. The key messages were:

- New Zealand excels at teaching skills required for the future
- New Zealand provides hands-on learning in an unlimited learning environment
- New Zealand welcomes students who think differently

The campaign featured three international students who are working towards their vision of a better future. The campaign reached 43 million prospective students.

Further detail on marketing and promotions activity led by ENZ can be found in the *Education New Zealand Annual Report 2018/19*.

Market research and intelligence

ENZ spent \$488,956 of Levy funding on market intelligence and research, including its quantitative brand health monitor, research on the China market and New Zealanders' perceptions of international education in New Zealand.

The brand health monitor gathers insight into the student decision-making journey and explores perceptions around New Zealand's 'Think New' education brand. It found that 10% of prospective students in priority markets ranked New Zealand in their top three preferred countries, down from 13% in 2017/18. Positive increases in preference in China and Thailand, were offset by declines in preference in India, Vietnam and Germany.

In 2018, there was a 20% decline in first-time student visas from China compared to 2017. To understand the decrease, ENZ funded qualitative research to understand the different factors impacting on the decrease. It identified a number of New Zealand and market factors, including some perceived barriers that were causing the decrease.

ENZ undertook its annual survey to measure the sentiment and perceptions of New Zealanders about international education. The survey focused on the perceived benefits and challenges of international education, global citizenship and outbound experiences (i.e. New Zealanders studying abroad).

Potential international students can offer insights that could help shape a more personalised, meaningful, relevant, and uniquely New Zealand education experience. During the year,

ENZ's Future Learners research project engaged with students from around the world in the co-creation of what a high value learning experience looks like from their perspective as a customer. As part of this work, ENZ held an online Emerging Futures Summit with potential international students. Then using virtual co-creation, the students worked in groups to solve problems around the following themes:

- design for the future of human survival
- waste as a valuable future resource
- mechanisms for social change
- cultural diverse thinking for problem solving
- future resilience in energy production.

Regional Partnership Programme

ENZ spent \$536,113 of Levy funding on its Regional Partnership Programme (RPP). Through the RPP, ENZ worked with international education providers, local government and regional economic development agencies and communities in New Zealand's regions to encourage regional growth in international education. In 2018/19, ENZ's approach was to work closely with a targeted group of high-performing New Zealand regions: Northland, Auckland, Wellington, Christchurch, Dunedin, Queenstown and Southland.

Northland and Southland were in the early stages of implementing their international education strategies and establishing core business activity under the themes of student mobility, telling the story, student experience, destination marketing and sector capability. ENZ supported the two regions to undertake activities including agent familiarisation visits to the region, offshore marketing missions, collateral development, provider workshops, student welcome events and employability programmes.

Targeted support for high-impact projects was provided to regions that had been implementing their international education strategies for more than three years. These regions were Auckland, Wellington, Christchurch, Dunedin and Queenstown. High-impact projects included activities to attract international investment, talent and high-value tourism and through collaboration with key business sectors, education providers, local government agencies and other regional stakeholders. For example, ENZ supported a creative industries project in Wellington which was designed to leverage the region's international education sector, human capital strengths and competitive advantages.

International Student Wellbeing Activity Funding for 2018/19

Up to \$750,000 has been allocated annually from the Export Education Levy (EEL) to support the implementation and outcomes of the International Student Wellbeing Strategy (ISWS) since 2017/18. These outcomes are:

- Economic wellbeing – international students are able to support themselves
- Quality education – international students achieve educational outcomes that support their future pathways and choices
- Health and wellbeing – international students are safe and well
- Inclusion – international students are welcome, valued and socially connected

The Wellbeing funding builds support for international students through a collective toolbox of wellbeing initiatives, links between organisations, and reaching into international student communities.

Each year a theme is agreed for the funding round. In 2018/19, the theme was Mental Health and Safety. A total of 10 projects were funded totalling \$531,143 (exclusive of GST) for 2019 calendar year. The projects are funded on a calendar basis (Jan-Dec 2019), and are required to submit a final report and evaluation by the end of January of the following year. A total of 21 initiatives have been funded since the Wellbeing fund opened. Key successful outputs include:

- Marae visits (four programmes provided these) with high satisfaction rates and students walking away with an increased knowledge of Māori culture and feeling more connected to New Zealand.
- A conference bringing together international students to build community and solve issues. The New Zealand International Students' Association's (NZISA) Mental Health Conference 2018 was the first student-led mental health conference in NZ. The conference attracted more than a hundred international and local students, health professionals and other professionals in the international education sector. Support for a more connected international voice and identifying gaps were key themes of the conference. NZISA has since worked with Massey University Students' Association to create its first International Student Officer role, showing how powerful bringing together the student voice can be.
- Radio podcasts in different languages developed by students. They covered information on mental health, community issues and their response to the Christchurch mosque attacks. PlainsFM created Steudaemonia, presenting 84 radio shows (25 minutes long). More than 100 international students were involved and their shows have been played more than 14,000 times (plus live listens), making Steudaemonia one of the most popular shows on PlainsFM. Feedback indicated that student participants experience increased connectivity and belonging to the Christchurch community. Students reported feeling valued, meeting new people, hearing about opportunities and events, increased confidence in using English, and development of technical and communication skills.
- Mental health community initiatives that bring domestic and international students together such as mental health first aid training provided by Waikato Institute of Technology.

International student voice is included in a selection of projects as well as in design, implementation and monitoring.

Table 3: Distribution of International Student Wellbeing Strategy for 2019 calendar year

Organisation	Location	Project	Funding
Canterbury & New Zealand Business Association	Canterbury/ Auckland	Addressing international student exploitation, improving student experience, and legal advice and support by and for international students	\$20,000
ISANA New Zealand	Nationwide	Professional development workshops, community engagement training and mental health training for education provider staff working with international students	\$150,000
Learning Hawke's Bay	Hawke's Bay	Information seminars and one-on-one guidance for international students and families	\$22,400
New Zealand Sikh Women's Association	Auckland/ Nationwide	Workshops to help prevent female international students' victimisation and improving student experience and safety	\$20,000
Plains FM	Canterbury	International student-delivered weekly radio/podcast programmes in various languages addressing international student wellbeing	\$26,516
Silverline Otago (University of Otago Student Club)	Otago	International student wellbeing resources, a wellbeing festival and a series of community-based events	\$52,772
Southern Institute of Technology	Southland	Videos to help international students understand the New Zealand health system	\$30,500
Te Puna Waiora - Health & Counselling, Unitec Institute of Technology	Auckland/ Nationwide	Sexual health and safety resources for international students across New Zealand	\$127,355
University of Waikato	Waikato/ Nationwide	Water safety resources for international students across New Zealand and water safety skill courses	\$29,600
Waikato Institute of Technology	Nationwide	Mental health first aid and wellbeing training for international students, staff, homestay families and residential advisors	\$52,000
		Total: \$ 531,143	

Administration and monitoring of the Code of Practice

NZQA is the appointed Administrator of the Code of Practice (the Code Administrator). During the 2018/19 financial year, NZQA spent a total of \$723,000 of EEL funding on the administration of the Code of Practice.

Key functions of the Code Administrator

The key functions of the Code Administrator under the 2016 Code of Practice include the following:

- assessing education provider Code signatory applications and removing Code signatory status when requested
- dealing with complaints and referrals of alleged breaches of the Code of Practice
- monitoring and investigating Code signatories' compliance with the Code of Practice
- conducting investigations into issues and identified areas of non-compliance where warranted
- identifying areas for improvement, issuing compliance notices and imposing sanctions
- developing and maintaining guidelines and toolkits to support the implementation of the Code of Practice.

Table 4: Breakdown of Code of Practice administration expenditure

Code Office Expenditure	2018/19 Actual
Personnel Costs	\$477,385
Travel & Accommodation	\$62,218
Communications	\$2,896
Office Expenses	\$178,579
Resources	\$1,922
Total	\$723,000

Assessing signatory applications

This financial year, NZQA approved 24 out of 44 applications considered for Code Signatory status.

Thirty-three providers requested removal of their status as a signatory, resulting in a reduction in the overall number of signatories. At 30 June 2019, there were 977 Code signatories, down from 986 at 30 June 2018.

NZQA has continued to make improvements to its internal processes and guidance for Code signatories. Improvements include refining the application process to become a Code signatory to ensure a more transparent and consistent approach.

Table 5: Code signatories by sector to 30 June 2019

	2014	2015	2016	2017	2018	2019
Schools	855	830	816	780	765	770
- Public Tertiary Education Institutions	28	28	26	26	26	25
- Private Training Establishments	231	228	226	202	195	182
Total tertiary	259	256	252	228	221	207
Total signatories	1,114	1,086	1,068	1,008	986	977

Building sector capability

As part of its role as administrator of the Code, NZQA works closely with the Ministry of Education, relevant agencies and sector peak bodies and leaders to build sector capability. In 2018/19 this has included updating the Code guidelines to support the 2019 amendments to the Code, delivering Code 101 workshops for new pastoral care staff in 12 cities across New Zealand, and responding to over 600 queries about interpreting and applying the Code.

Ongoing monitoring

NZQA monitors the performance of Code signatories through a range of integrated quality assurance activities that align with the Evaluative Quality Assurance Framework.

These include:

- requiring signatories to attest to undertaking an annual self-review of their performance against Code requirements
- reviewing a sample of self-review reports of Signatories and undertaking further monitoring if required
- maintaining 'international student welfare' as a mandatory focus area in External Evaluation and Review of tertiary education organisations (TEOs)
- working with the Education Review Office (ERO) and Universities NZ (UNZ) to address concerns arising from external reviews of schools and universities
- investigating international student complaints
- following up and investigating instances of alleged non-compliance.

In 2017/18, NZQA's monitoring activities identified poor reporting of sector compliance and capability in self-review of performance under the Code. The focus this year has been building Code signatory capability in undertaking and reporting the results of their self-review in relation to the Code.

Managing critical incidents

This year, there have been a number of critical incidents, including several involving the severe injury or death of an international student. These incidents have identified the importance for signatories of having critical incident plans in place and knowing how to access the necessary support services and resources.

The school sector has reported critical incidents involving medically related issues, mental health and poor behaviour. Most of these incidents have been well managed and reported.

Where appropriate, NZQA provides support, guidance and follows up to ensure the requirements of the Code are being met. This includes a debrief to assist Code signatories identify strengths and gaps in their pastoral care. In some situations, remedial actions are taken. The implementation of this is monitored by NZQA.

Some critical incidents involve a range of agencies. The sharing of information is coordinated through existing networks of inter-agency international education groups.

Complaints and investigations

NZQA assesses complaints and investigates, where warranted.

NZQA received two complaints about alleged breaches of the Code of Practice this year. One of the complaints was assessed as warranting further investigation and the Code signatory was subsequently found to be in breach of the Code.

In the school sector, three new investigations were opened in 2018/19 and four investigations were carried over from 2017/18. Three of those investigations identified breaches of the Code. The investigations found poor record keeping, insufficient support for international students at risk, ineffective communication with students and parents, insufficient or unfair grievance procedures and poorly managed critical incidents.

A review of Code issues is incorporated as and when needed into all TEO investigations. In 2018/19, there were 49 investigations opened at 45 Code signatory non-university TEOs.

International Student Contract Dispute Resolution Scheme

The International Student Contract Dispute Resolution Scheme (DRS) came into force on 1 July 2016 and is funded by the EEL. The DRS was established to resolve contractual and financial disputes between international students and education providers. FairWay Resolution Limited administers the DRS as iStudent Complaints.

The DRS received income for the financial year ended 30 June 2019 of \$222,000, with operating costs of \$147,000 covering depreciation and amortisation, personnel, occupancy, ICT, Finance, HR Support and Travel. Their 2018/19 Annual Report shows an operating surplus of \$75,000.

For the year ending 30 June 2019, iStudent Complaints received 94 enquiries from international students. The number of enquiries decreased by 22 compared with the 2017/18 reporting year. Many complaints are resolved at the initial enquiry phase. Of the 94 enquiries received in the 2018/19 reporting year, 8 were not accepted, 53 withdrew or did not proceed and 23 claims were accepted.

Students from India and China have made the most contact with iStudent Complaints in 2018/19. Over 40% of all accepted claims received this year have come from Indian students, followed by students from China who made up 26% of accepted claims.

The majority of iStudent Complaints claims involve refund requests. Ten claims related to refund (withdrawal), five claims related to refund (course closure), two claims related to incorrect fee, two claims related to refund (quality of academic provision) and one related to compensation (following NZQA investigation), and three claims were for other cases.

Over 90% of registered claims in 2018/19 involved PTEs. Two of the registered claims were for Universities. There were no registered claims for schools or ITPs.

Reimbursement of International Students and the Crown

Under section 238I (1B) of the Education Act 1989, the EEL can be used to reimburse direct costs incurred in assisting international students affected by the closure of a PTE. These costs include international student tuition fee reimbursements and transfer costs to an alternative provider.

In the 2018/19 financial year, there were two provider closures which resulted in an EEL reimbursement of \$816,004. This is significantly lower than the EEL reimbursement of \$3,214,443 in 2017/18, which was the highest by far.

NZQA has continued to increase its focus on monitoring the delivery of programmes to determine if they are being delivered as approved. This increased focus on programme delivery and assessment practice has enabled poor education performance to be identified earlier. NZQA's approach in the last year has been to take suitable remedial action earlier using its available range of regulatory options to reduce the impact on learners and the EEL. This has led to a decrease in the number of provider and programme closures.

When programme or provider closures occur, the Government is committed to prioritising international student wellbeing, which in some cases includes a full or partial refund of tuition fees. The amount reimbursed to a student may be off-set by any residual funds in their Student Fee Protection account.

This consumer guarantee helps make New Zealand a competitive and desirable study destination to international students. Tertiary education organisations are expected to pay for closure-related costs, but when they are unable or unwilling to do so, these costs can be paid out of the EEL.

Table 6: EEL reimbursement costs for the 2018/19 financial year

Provider	Reimbursement cost to international students and the Crown
New Zealand Institute of Technical Training Limited (NITT)	\$346,457
Regent Education Group	\$439,652
Residual claims from 2017/18	
Excellent International Academy	\$2,995
Retail Business and Management College	\$18,404
Pacific Training Institute	\$5,010
International College of New Zealand	\$2,060
New Zealand National College	\$1,426
Total	\$816,004

New Zealand Institute of Technical Training Limited (NITT)

NZQA withdrew NITT's accreditation to deliver two business programmes as a result of ongoing and significant concerns about its programme delivery and assessment practice on 14 March 2019. On this basis, NZQA considered that the students should receive a full refund from NITT of the fees that they paid. NZQA issued a compliance notice to NITT requiring it to pay \$367,638 to Public Trust by 28 March 2019.

On 29 March 2019, NZQA cancelled NITT's registration because it had not paid the funds to Public Trust that would then be refunded to students. EEL subsequently refunded \$346,457 to NITT learners.

Regent International Education Group (Regent)

On 12 October 2018, NZQA cancelled Regent's registration due to non-compliance with NZQA Rules.

Two levy claims were made to the EEL totalling \$439,652 to refund students on four programmes. This coupled with the remaining funds the students had in trust, meant these students received a full refund of the fees they had paid to study at Regent.

Export Education Levy

Financial statements for the year ended 30 June 2019

Statement of Responsibility

In Terms of Section 238I (3) of the Education Act 1989

The Ministry of Education as the agency responsible for administering the Export Education Levy has prepared these financial statements. The Secretary for Education accepts responsibility for the preparation of the annual financial statements and they have been prepared in accordance with generally accepted accounting practice.

Appropriate systems of internal control have been employed to ensure that all transactions are executed with appropriate authorisation, that all transactions are correctly processed and accounted for in the financial records, and that the assets are properly safeguarded.

In our opinion, the financial statements fairly reflect the financial position as at the end of the financial year and the financial performance and cash flows for the financial year ended 30 June 2019. We authorise the issuance of these financial statements on 13 November 2019.



Iona Holsted
Secretary for Education
13 November 2019

INDEPENDENT AUDITOR'S REPORT

TO THE READERS OF EXPORT EDUCATION LEVY'S FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2019

The Auditor-General is the auditor of the Export Education Levy (the Levy). The Auditor-General has appointed me, Grant Taylor, using the staff and resources of Ernst & Young, to carry out the audit of the financial statements of the Levy on his behalf.

Opinion

We have audited the financial statements of the Levy on pages 27 to 36, that comprise the statement of financial position as at 30 June 2019, the statement of financial performance, statement of changes in equity and statement of cash flows for the year ended on that date and the notes to the financial statements that include accounting policies and other explanatory information.

In our opinion, the financial statements of the Levy:

- present fairly, in all material respects:
 - its financial position as at 30 June 2019; and
 - its financial performance and cash flows for the year then ended; and
- comply with generally accepted accounting practice in New Zealand in accordance with Public Benefit Entity Standards Reduced Disclosure Regime issued by the New Zealand Accounting Standards Board.

Our audit was completed on 13 November 2019. This is the date at which our opinion is expressed.

The basis for our opinion is explained below. In addition, we outline the responsibilities of the Ministry of Education and our responsibilities relating to the financial statements, we comment on other information, and we explain our independence.

Basis for opinion

We carried out our audit in accordance with the Auditor-General's Auditing Standards, which incorporate the Professional and Ethical Standards and the International Standards on Auditing (New Zealand) issued by the New Zealand Auditing and Assurance Standards Board. Our responsibilities under those standards are further described in the Responsibilities of the auditor section of our report.

We have fulfilled our responsibilities in accordance with the Auditor-General's Auditing Standards.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of the Ministry of Education for the financial statements

The Ministry of Education is responsible on behalf of the Levy for preparing financial statements that are fairly presented and that comply with generally accepted accounting practice in New Zealand.

The Ministry of Education is responsible for such internal control as it determines is necessary to enable it to prepare financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Ministry of Education is responsible on behalf of the Levy for assessing the Levy's ability to continue as a going concern. The Ministry of Education is also responsible for disclosing, as applicable, matters related to going concern and using the going concern basis of accounting, unless there is an intention to merge or terminate the activities of the Levy, or there is no realistic alternative but to do so.

The Ministry of Education's responsibilities arise from the Education Act 1989.

Responsibilities of the auditor for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit carried out in accordance with the Auditor-General's Auditing Standards will always detect a material misstatement when it exists. Misstatements are differences or omissions of amounts or disclosures, and can arise from fraud or error. Misstatements are considered material if, individually or in the aggregate, they could reasonably be expected to influence the decisions of readers taken on the basis of these financial statements.

We did not evaluate the security and controls over the electronic publication of the financial statements.

As part of an audit in accordance with the Auditor-General's Auditing Standards, we exercise professional judgement and maintain professional scepticism throughout the audit. Also:

- We identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- We obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Levy's internal control.
- We evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Levy.
- We conclude on the appropriateness of the use of the going concern basis of accounting by the Ministry of Education and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Levy's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Levy to cease to continue as a going concern.
- We evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Ministry of Education regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Our responsibilities arise from the Public Audit Act 2001.

Other information

The Ministry of Education is responsible for the other information. The other information comprises the information included on pages 2 to 21, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of audit opinion or assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information. In doing so, we consider whether the other information is materially inconsistent with the

financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on our work, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independence

We are independent of the Levy in accordance with the independence requirements of the Auditor-General's Auditing Standards, which incorporate the independence requirements of Professional and Ethical Standard 1 (Revised): Code of Ethics for Assurance Practitioners issued by the New Zealand Auditing and Assurance Standards Board.

In addition to the audit we have carried out engagements for the Ministry of Education in the areas of school payroll reporting assurance, assurance in relation to a new financial management information system and accreditation in relation to cyber security.

Other than the audit and these engagements, we have no relationship with or interests in the Levy.

Grant Taylor
Ernst & Young
On behalf of the Auditor-General
Wellington, New Zealand

Statement of Financial Performance

For the year ended 30 June 2019

The Statement of Financial Performance reports the income and expenditure relating to all goods and services produced for the Export Education Levy.

	Notes	2019 \$	2018 \$
Income			
Export education levies		6,406,264	5,003,637
Interest received		48,934	86,396
Other income		1,720	2,080
Total Income		6,456,918	5,092,113
Expenditure			
Audit fee		10,152	8,100
Code of practice		723,000	723,000
Dispute resolution service		222,444	218,200
International Education Appeal Authority		-	1,945
Marketing and promotions	2	2,237,031	2,316,004
Operating costs		189,379	145,702
Professional and industry development	3	540,013	580,427
Research		488,956	368,569
Students wellbeing initiatives		636,197	527,420
Support for students affected by failure of providers	4	816,004	3,214,443
Total Expenditure		5,863,176	8,103,810
Net Surplus/(Deficit)		593,742	(3,011,697)

The above Statement of Financial Performance should be read in conjunction with the accompanying notes.

Statement of Financial Position

As at 30 June 2019

The Statement of Financial Position reports the total assets and liabilities for the Export Education Levy. The difference between the assets and liabilities is the equity.

	Notes	2019 \$	2018 \$
Equity		2,316,379	1,722,637
Current Assets			
Cash at bank		5,208,992	1,047,518
Term deposits		-	1,600,000
Accounts receivable	5	2,810,520	1,280,754
GST receivable		-	166,473
Total current assets		8,019,512	4,094,745
Current Liabilities			
Accounts payable		1,589,972	2,090,016
Accrued creditors		-	282,092
GST payable		113,161	-
Total current liabilities		1,703,133	2,372,108
Non-current Liabilities			
Borrowings	6	4,000,000	
Total non-current liabilities		4,000,000	-
Net Assets		2,316,379	1,722,637

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Statement of Changes in Equity

For the year ended 30 June 2019

The Statement of Changes in Equity shows the increase or decrease in the net assets between the start and end of the financial year.

	2019	2018
	\$	\$
Equity 1 July	1,722,637	4,734,334
Net Surplus (Deficit)	593,742	(3,011,697)
Equity 30 June	<u>2,316,379</u>	<u>1,722,637</u>

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Statement of Cash Flows

For the year ended 30 June 2019

The Statement of Cash Flows summarises the cash movements in and out of the Export Education Levy Account during the financial year. It takes no account of money owed to it or by it and therefore differs from the Statement of Financial Performance.

	2019 \$	2018 \$
Operating Activities		
Cash Inflows		
Export Education Levy	4,816,812	4,654,695
Interest	66,699	138,311
Other receipts	1,720	2,080
GST (Net)	279,634	158,625
	5,164,865	4,953,711
Cash Outflows		
Personnel	(148,203)	(148,256)
Suppliers	(6,455,188)	(9,887,968)
	(6,603,391)	(10,036,224)
Net cash flows from operating activities	(1,438,526)	(5,082,513)
Financing Activities		
Cash Inflows		
Borrowings	4,000,000	-
Net cash flows from financing activities	4,000,000	-
Investing Activities		
Cash Inflows		
Maturity of term deposit	1,600,000	-
Net cash flows from investing activities	1,600,000	-
Cash at the beginning of the year	1,047,518	6,130,031
Cash at the end of the year	5,208,992	1,047,518

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Statement of Commitments, Contingent Assets and Liabilities

Statement of Commitments

There are no commitments at 30 June 2019 (2018: \$Nil).

Statement of Contingent Assets

There are no contingent assets at 30 June 2019 (2018: \$Nil).

Statement of Contingent Liabilities

There are no contingent liabilities at 30 June 2019 (2018: \$Nil).

Notes to the Financial Statements

Note 1- Summary of significant accounting policies

Statement of compliance and basis of preparation

Statement of compliance

The Export Education Levy (the Levy) is a scheme administered by the Ministry of Education in accordance with section 238H of the Education Act 1989 (the “Act”).

These financial statements have been prepared in accordance with Generally Accepted Accounting Practice in New Zealand (NZ GAAP) as required by S238I of the Act.

The financial statements of the Export Education Levy comply with Public Benefit Entity (PBE) standards.

Basis of preparation

All transactions in the financial statements are reported using the accrual basis of accounting.

The financial statements are prepared on the assumption that the Levy will continue to operate in the foreseeable future.

Measurement base

The financial statements have been prepared on a historical cost basis, unless otherwise stated.

The financial statements are presented in New Zealand dollars and all values are rounded to the nearest dollar unless otherwise stated.

Specific accounting policies

Financial instruments

A financial instrument is any contract that gives rise to a financial asset of any entity and a financial liability or equity instrument of another entity.

Financial assets

Initial recognition and measurement

All financial assets are recognised initially at fair value plus, in the case of financial assets not recorded a fair value through surplus or deficit, transaction costs that are to the acquisition of the financial asset. The Levy’s financial assets include: cash, short term deposits, trade and other receivables.

Subsequent measurement

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate method, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate.

Losses arising from impairment are recognised in the statement of financial performance.

Impairment of financial assets

Impairment of financial assets is established when there is objective evidence that the Ministry will not be able to collect amounts due according to the original terms. Significant financial difficulties of the debtor, probability that the debtor will enter into bankruptcy, and default in payments are considered indicators that the debtor is impaired. The amount of the impairment is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted using the original effective interest rate. The carrying amount of the asset is reduced through the use of a doubtful debts provision, and the amount of the loss is recognised in the net surplus or deficit. Overdue receivables that are renegotiated are reclassified as current (i.e., not past due).

Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and, in the case of accounts payable, net or directly attributable transaction costs. The Levy's financial liabilities are accounts payable.

Subsequent measurement

Financial liabilities at amortised cost

This is the category of financial liabilities relevant to the Levy. After initial recognition, accounts payable are subsequently measured at amortised cost using the effective interest rate method. Accounts payable arise from exchange transactions.

Gains and losses are recognised in surplus or deficit when the liabilities are derecognised as well as through the effective interest rate amortisation process.

Accounts payable are unsecured and are usually paid within 30 days of recognition. Due to their short-term nature they are not discounted.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or cost that are an integral part of the effective interest rate.

Revenue

Revenue is recognised to the extent that it is probable that the economic benefits or services potential will flow to the Levy and the revenue can be reliably measured, regardless of when the payment is being made.

Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty.

The specific recognition criteria described below must also be met before revenue is recognised.

Revenue from non-exchange transactions

Levies

Levy revenue is derived from levies paid by participating educational institutions when earned.

PBE IPSAS 23 requires revenue from non-exchange transactions such as levies, to be recognised as revenue as soon as the inflow of resources can be recognised as an asset in the financial statements, unless the inflow of resources meets the definition of and recognition criteria for a liability. Non-exchange revenue from levies can only be deferred and recognised as a liability if there is a condition attached to the income that requires an entity to use the

income as specified by the grantor or return the cash (or other resources transferred under the grant) if the entity does not perform as specified.

Revenue from exchange transactions

Interest revenue

Interest revenue is recognised by accruing on a time proportion basis the interest due for the investment.

Expenditure

Expenses are largely recognised as support to pay costs incurred by Education New Zealand and the operation of the Code of Practice office. Education New Zealand operates a work programme on behalf of the industry in the areas of professional development, marketing and research. This is recognised as an expense when the Export Education Levy reimburses the Ministry of Education who initially pay Education New Zealand.

If a private training establishment does not provide the course of study or training and does not refund international students for tuition fees or any other payments, the Levy may be used to reimburse those students. The expense is recognised when a reimbursement is made to the Ministry of Education who initially make the refund.

Goods and Services Tax

Revenues and expenses are recognised net of the amount of GST except:

- When the GST incurred on a purchase of services is not recoverable from the taxation authority, in which the GST is recognised as part of the cost of the expense item, as applicable; and
- In the case of receivables and payables, which are stated with the amount of GST included.

The net amount of GST recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

Cash flows are included in the statement of cash flows on a gross basis and the GST component of cash flows arising from investing and financing activities, which is recoverable from, or payable to, the taxation authority is classified as part of operating cash flows.

The Ministry of Education as agent for the levy is a registered person in terms of the Goods and Services Tax Act 1985. All statements are GST exclusive except for accounts payable and accounts receivable in the Statement of Financial Position.

Equity

Equity is measured as the difference between total assets and total liabilities and comprises the accumulated surpluses and deficits since the formation of the Levy.

Significant accounting judgements, estimates and assumptions

The preparation of the Levy's financial statements does not require management to make any significant judgements, estimates or assumptions.

Note 2 – Marketing and promotions

	2019	2018
	\$	\$
Advertising, events, fairs and marketing campaigns	1,616,681	1,697,653
Enhancements to digital property e.g. student attraction website	359,150	354,233
Brand, creative, traditional and digital media strategy, planning and buying	195,900	199,861
Agent and media familiarisation travel & other incidentals	65,300	64,257
	2,237,031	2,316,004

Note 3 - Professional and industry development

	2019	2018
	\$	\$
Regional partnerships programme	536,113	539,842
Workshops, seminars and events	3,900	40,585
	540,013	580,427

Note 4 – Support for students affected by failure of providers

	2019	2018
	\$	\$
Aotearoa Tertiary Institute	-	4,932
Excellent International Education	2,995	917,465
International College of New Zealand	2,060	869,587
Linguist International Institute	-	54,418
New Zealand National College	1,426	1,210,718
Pacific Training Institute	5,010	31,955
Retail Business and Management College	18,404	125,368
Regent Education Group	439,652	-
The National Institute of Technology	346,457	-
	816,004	3,214,443

Note 5 - Accounts Receivable

	2019	2018
	\$	\$
<i>Exchange</i>		
Other receivables	1,872,397	473,491
Provision for doubtful debts	(41,921)	-
Accrued interest	-	17,764
<i>Non-exchange</i>		
Levy income due but not received	980,044	789,499
	2,810,520	1,280,754

Note 6 – Borrowings

Cabinet has approved temporary advances of \$6 million (\$4 million in 2018/19 and \$2 million in 2019/20) to Export Education Levy Fund to ensure all EEL payments are met. The advances were funded by a capital withdrawal from the Ministry of Education.

The borrowings are recognised initially at fair value. Borrowings are classified as non-current liabilities as it will be repaid to the Crown by the end of 2023/24 using funds collected through the EEL.

Note 7 - Financial Instruments

	Loans and receivables	Financial liabilities at amortised cost
2019 financial instruments are categorised as follows:		
Cash at bank	5,208,992	-
Accounts receivable	2,810,520	-
Accounts payable	-	1,589,972
Borrowings	-	4,000,000
	8,019,512	5,589,972

	Loans and receivables	Financial liabilities at amortised cost
2018 financial instruments are categorised as follows:		
Cash at bank	1,047,518	-
Short term investments	1,600,000	-
Accounts receivable	1,280,754	-
Accounts payable	-	2,090,016
	3,928,272	2,090,016

Note 8 - Related Party Disclosure

The Ministry of Education is a related party of the Export Education Levy. The Ministry of Education administers the Export Education Levy and provides policy advice to the government. These services are provided on an arm's length basis.

The majority of the transactions with the Ministry of Education are reimbursements for payments made by the Ministry to third party providers.

Note 9 – Events after balance date

There are no material non-adjusting events after the reporting date.